

Sales Department

b. Payment terms

Incentive plan clearly articulates the incentive amount and the payment terms. For example, 50% incentive will be paid at the time of sales and the remaining 50% will be paid at the receipt of the money from the customer.

Incentive earned: Rs. 10,000/-

Rs. 5,000/-

Redeem

Rs. 5,000/-

Only redeemable after money received from customer

c. Threshold

Suppose you offer an incentive plan for your recruiters to close positions. You may define that a recruiter becomes eligible for incentive only when the recruiter closes 5 positions in a month. This becomes the threshold for earning incentive. The threshold should be such that around 50% of the population is able to earn the incentive. You should keep increasing the threshold over a period of time to manage performance.

